Syllabus Edition
First teaching 2025
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Methods of Market Research

Exam code: 0450, 0986 & 0264, 0774

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Why do businesses use market research?

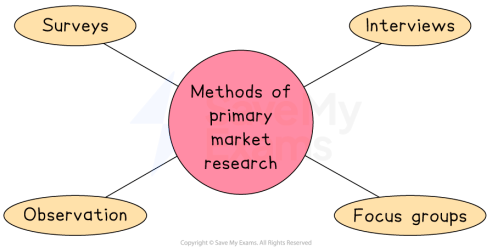
- **Market research is the collection, compilation and analysis of information about a market**
- Effective market research helps a business
  - **Reduce risk** when launching new products or entering new markets
  - Identify and understand the **future needs and wants of customers**
  - Understand **consumer behaviour**
  - Identify how much consumers are **prepared to pay**
  - Identify potential **gaps in the market** which can be exploited to increase sales
  - **Identify competitors** and gauge their potential strengths and weaknesses
- With effective market research businesses are well-placed to **make informed decisions** about the **most effective way** to use their valuable resources and **develop a suitable marketing mix**
- **On-going market research** helps businesses to update their **marketing strategy** in line with customers' changing needs and preferences

Primary market research

- **Primary market research is the process of gathering information directly from consumers in the target market**
  - This process gathers **information that** does not already exist and is specific to the needs of the business collecting it

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

organise research questions and responses



Primary market research methods include surveys, interviews, observation and focus groups

Primary market research methods

Surveys

- A series of questions are posed to a defined number of people using a questionnaire
- Surveys can be conducted face-to-face, online, by phone or by post

Advantages	Disadvantages
• Can reach a wide audience quickly • Data is easy to compare and analyse	• Responses may be rushed or dishonest • Limited opportunity for follow-up or clarification

Help me understand

Interviews

- A formal meeting between a researcher and a customer using structured or semi-structured questions
- Interviews allow detailed responses and observation of body language

Advantages	Disadvantages
• In-depth and detailed responses • Can explore topics further through follow-up questions	• Time-consuming and expensive • Results may be harder to compare due to open-ended answers

Observation

- A market researcher watches consumer behaviour in real time, such as shopping patterns, product placement, or packaging influence

Advantages	Disadvantages
• Shows actual behaviour rather than reported behaviour	• Cannot always understand reasons behind actions

Focus groups

- Small group discussions led by a specialist to gather detailed feedback from target customers on products, services, or marketing strategies

Advantages	Disadvantages
• Provides deep insights and opinions • Can test ideas before wider launch	• A small sample size may not represent wider market • Dominant voices may skew the discussion

Sampling

- Primary market research is conducted with a **small representative sample** of the market as a whole
  - Market researchers use carefully designed sampling methods from which accurate **conclusions can be drawn** about likely customer preferences and behaviour
  - In general, **the larger the sample size, the more likely it is that results of market research activities will reflect the market as a whole**

Why is sampling useful?

- **It saves time and money**
  - It is usually too expensive and time-consuming to collect data from every potential customer
  - Sampling allows the business to get useful information quickly and at a lower cost
- **It can provides reliable insights**
  - If the sample is chosen carefully, it can represent the larger market
  - This means the business can still learn about customer preferences, buying habits, or opinions without needing to ask everyone
- **It helps a business make better decisions**
  - Sampling allows a business to test ideas, such as new products or adverts, before launching on a larger scale
  - This helps reduce risk
- **It is useful for identifying trends**
  - By asking a smaller group of people from different segments, a business can spot patterns in customer behaviour or preferences

Secondary market research

carrying out their own primary market research

- Businesses must weigh up the **reliability** of secondary market research and aspects such as **cost, relevance** and **availability** of data when making a decision on which secondary data to use

Secondary market research can be sources from competitor websites, government data, trade magazines and market reports

Sources of secondary market research

Competitor websites

- Businesses can visit the websites of their competitors to gather useful information about their products, pricing, promotions, customer service and branding

Why are they useful?

- Comparing prices and features
- Identifying current marketing strategies
- Understanding how competitors position themselves in the market

Government sources

- Governments publish a wide range of free and reliable data, including statistics on population, employment, income, business activity and economic growth

Why are they useful?

- Spotting demographic trends (e.g. ageing population)
- Analysing the economic climate (e.g. inflation, interest rates)
- Understanding changes in consumer spending or regional business conditions

Market reports

- Market research companies, such as Mintel or Euromonitor, produce in-depth reports on industries, consumer trends and market performance
- These are usually detailed and may be expensive to access

Why are they useful?

- Assessing market size and growth
- Understanding consumer behaviour and preferences

- Magazines focused on a specific industry, often published by trade associations or business groups
- They include news, expert opinions and case studies

Why are they useful?

- Staying up-to-date on trends, new products, and innovations
- Monitoring competitor activity within the industry
- Gaining insight into best practices and future developments

Evaluating secondary market research

Advantages	Disadvantages

• **Cost-effective**
  ○ Secondary research is often cheaper than conducting primary research since the data already exists
• **Time-saving**
  ○ Information can be accessed quickly without needing to collect new data
• **Wide range of data**
  ○ It covers many topics and often has large sample sizes, offering valuable insights
	• **It may be outdated**
	  ○ Information might not reflect current market trends or customer preferences
	• **Lack of relevance**
	  ○ Data might not be specific enough for the business's needs, so primary market research may also be needed
	• **Unknown accuracy**
	  ○ The reliability of the data can be uncertain if the original source is unclear or biased

Examiner Tips and Tricks

Be careful not to confuse **primary** and **secondary** research – primary gathers new data (e.g. surveys), while secondary uses existing data (e.g. reports). Mixing these up is a common exam mistake

Factors influencing the accuracy of market research data

1. Question phrasing

- How **questions are phrased** in **questionnaires** or other tools used to conduct surveys
  - Questions should be written in such a way that they do not encourage a predetermined response

2. Sample selection

- How **carefully the sample is selected**
  - Including its **size**, **types of respondent** chosen and how closely these reflect the intended **target market**

3. Skills of interviewer

- **Who conducts the research** including their **experience**, research **skills** and **source** (primary or secondary?)
- Potential for **bias** when conducting research or analysing results
  - The research and its analysis should be as objective as possible

4. Time and place of research

- **When and where** the research is conducted
  - Customer tastes, fashions, economic conditions and technology change, giving data a relatively short period of usefulness
  - Customers in different geographic areas can have very different opinions

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